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El Rovia Mobile Home Park, LLC, v. City of El Monte (Case No. 25STCP04451)

August

14, 2026

Department

833

Order

Denying Petition for Writ of Mandate

INTRODUCTION

Petitioner El Rovia Mobile Home Park, LLC

("Petitioner") moves for a writ of

mandate directing the Court to overturn the City of El Monte's ("Respondent")

denial of Petitioner's application for a fair return rent increase for its

mobilehome park in 2021.

The Court concludes as follows:

-

The Hearing Officer did not err in

allowing the City to apply a new phase-in calculation to the fair return for

unrealized rent increases as applied by the City

-

The Hearing Officer did not err in

allowing the City to pro-rate the inflation-adjusted Base Year Net Operating Income ("NOI") as well as the comparison year NOI for only non-exempt spaces or rent control spaces as applied by the City

Therefore, the Court DENIES the petition for writ of mandate.

BACKGROUND

A.

Rent

Control in El Monte

The

City of El Monte's Mobilehome Park Rent Stabilization Ordinance No. 2860 ("Ordinance") has several purposes:

1. Prevent excessive and unreasonable increases in mobilehome park space rents.
2. Preserve the availability of available mobilehome park spaces in the city.
3. Enable mobilehome owners to preserve their equity in their mobilehomes.
4. Permit mobilehome park owners to receive a fair return.
5. Help preserve the affordability of space rents within the city.

(AR 4-5.)

The

Ordinance authorizes a mobilehome park owner to petition the City for a fair return rent adjustment ("Fair Return") under El Monte Municipal Code ("EMMC") section 8.70.090. (AR 18-22.) A Fair Return increase is appropriate if the annual Consumer Price Index ("CPI") increase does not provide the park owner with a "fair and reasonable return." (AR 12.) It is presumed that the net

operating income, as received by a park owner in the base year, provided the park owner with a fair and reasonable return. (AR 12.) Under EMMC section 8.70.090, subd. (C)(3)(e), the Fair Return must be supported by “[e]vidence documenting the income and expenses claimed by the park owner.” (AR 18.)

EMMC

section 8.70.080, subd. (E)(5)(a)(viii) limits eligible legal expenses to those “incurred in connection with successful good faith attempts to recover rents owing” and “necessarily incurred in dealings with respect to the normal operation of the park.” (AR 15.)

According

to EMMC section 8.70.090, subd. (D)(2), a City Manager decision on a Fair Return petition may be appealed within twenty calendar days, and the appealing party is responsible for paying the costs of the appeal. (AR 20.) Administrative hearings, such as those conducted by the Office of Administrative Hearings (“OAH”) are conducted in accordance with such rules and regulations as promulgated by the El Monte City Council or the hearing officer who presides over the hearing. (AR 21.) EMMC section 8.70.090, subd. (D)(15) provides that any party alleging the Administrative Law Judge (“ALJ”)’s decision contains mathematical or clerical inaccuracies in the decision may so notify the hearing officer and the other parties within fifteen calendar days of the mailing of the decision, and the ALJ may issue a revised decision with ten business days. (AR 23.)

The

City utilizes a third-party consultant, RSG Solutions, Inc. (“RSG”), to process fair return petitions and provide recommendations to the City Manager. (AR 100.) EMMC section 8.70.090, subd. (C)(7) provides for “employment of experts.” (AR 19.)

B.

The 2021

Fair Return

On

October 17, 2022, Petitioner submitted a Fair Return for year 2021. (AR 36.) On October 18, 2023, the City Manager issued a decision that Petitioner was not entitled to a permanent rent increase. (AR 100.) The decision did, however, award Petitioner a temporary rent increase of \$6.30 per space for eligible

legal and capital improvement expenses for a period of five years. (AR 100.)

On

November 3, 2023, Petitioner appealed the City Manager's decision. (AR 632.)

The ALJ issued his decision on August 26, 2025. (AR 770-816.) The ALJ affirmed the City's denial of Petitioner's requested permanent rent increase. (AR 816.) The ALJ found Petitioner failed to meet its burden of showing that the City's decisions to offset unrealized rent increases and to prorate operating expenses (but not income) to rent-controlled spaces were unreasonable or erroneous. (AR 815.)

The

petition followed.

LEGAL STANDARD

Under Code of

Civil Procedure section 1094.5, subd. (b), the pertinent issues are whether the respondent has proceeded without jurisdiction, whether there was a fair trial, and whether there was a prejudicial abuse of discretion. An abuse of discretion is established if the agency has not proceeded in the manner required by law, the decision is not supported by the findings, or the findings are not supported by the evidence. (Code Civ. Pro. § 1094.5, subd. (b).)

The ALJ's actions

are presumed to be supported by substantial evidence and the petitioner has the burden of proving otherwise. (*Colony Cove Properties, LLC v. City of Carson* (2013) 220 Cl.App.4th 840, 866.) Substantial evidence is evidence of "ponderable legal significance...reasonable in nature, credible, and of solid value" that a "reasonable mind might accept as adequate to support a conclusion." (*H.N. & Frances C. Berger Foundation v. City of Escondido* (2005) 127 Cal.App.4th 1, 7.)

In applying the

substantial evidence standard, the Court does not reweigh the evidence, and must resolve all conflicts and reasonable doubts in favor of the ALJ's findings and decision. (See *Center for Biological Diversity v. County of San Bernardino* (2010) 185 Cal.App.4th 866, 881-882.)

“On questions of law arising in mandate proceedings, [the court] exercise[s] independent judgment.” (Christensen v. Lightbourne (2017) 15 Cal.App.5th 1239, 1251.) The interpretation of statute or regulation is a question of law. (See State Farm Mut. Auto. Ins. Co. v. Quackenbush (1999) 77 Cal.App.4th 65, 77.) In addition, “[a] challenge to the procedural fairness of the administrative hearing is reviewed de novo on appeal because the ultimate determination of procedural fairness amounts to a question of law.” (Nasha L.L.C. v. City of Los Angeles (2004) 125 Cal.App.4th 470, 482.)

DISCUSSION

A.

Petitioner’s argument that Respondent’s process lacked a legal basis is unpersuasive

Petitioner first argues that Respondent’s expert, RSG, Inc. “made...major changes in 2021 that were inconsistent with both the Ordinance and how the four prior applications were processed with respect to providing a new additional calculation for unrealized phase-in rent increases...” (Opening Brief (“OB”), 10:16-18.) In essence, this major change involved the City of El Monte’s decision to offset unrealized rent increases to prevent the duplication of these increases. According to Petitioner, this change was “a clear violation of Petitioner’s due process rights” and “was done solely in order to prevent the Park any permanent rent increase.” (OB, 10:10-13.)

Petitioner’s argument is unpersuasive. First, Petitioner cites no law explaining why the change in process was “a clear violation of Petitioner’s due process rights.” Petitioner cites no evidence indicating that the change in process was done solely to prevent any permanent rent increase. Petitioner’s inability to connect the dots in his papers is fatal to the Court granting the petition.

As the City of El Monte explains, the methodology Petitioner used in 2021 has previously been upheld by California courts. In Carson Harbor, a rental board allocated a mobilehome park’s \$190,333 expense over a three-year period based on a 28-month loan after the owner sought to deduct it in full in a single year. (Carson Harbor Village, Ltd. v. City of Carson Mobilehome Park Rental Review Bd. (1999) 70

Cal.App.4th 281, 292 (Carson Harbor).) The Court of Appeal reasoned that expensing the entire cost in one year would overstate the park's operating expenses, understate its gross profit, and "artificially inflate [owner's] need for a monthly rental increase." (Id., at p. 292.) Failing to account for it would lead to a "permanent, artificially high monthly rent increase" that "would permit [owner] to realize unwarranted profits from increased revenues," a result "inconsistent with the overarching goal of protecting residents through rent control laws." (Ibid.)

Here, as the ALJ found, a deflated income artificially inflates the Park's apparent need for a rent increase, producing a "duplicative" increase that compounds income the Park "was scheduled to receive in the near future when the unrealized rent increases were implemented." (AR 786.) The City of El Monte corrected that understatement exactly as the board in Carson Harbor did. (AR 0786-787.) Although the specific application of the offsetting differs between Carson Harbor and this case, the effect is the same.

The absence of an express offsetting provision in the Ordinance does not render the City of El Monte's approach improper. As the Court of Appeal explained in Carson Harbor, when an "ordinance does not address the Board's authority to distinguish between extraordinary non-recurring expenses and normal operating expenses, it is within the Board's authority to make such a distinction if it relates to the impact of a rent increase on mobilehome park residents." (Carson Harbor, supra, 70 Cal.App.4th at p. 293.)

Petitioner argues that because the City of El Monte had never done an analysis before, it was not appropriate to do so here. This argument is unsupported. No law states that the City of El Monte must conduct its fair return analysis in any specific manner, or must do its analysis every year in the same way.

Exercising its independent judgment, the Court concludes that ALJ had a legal basis for allowing offsetting.

B. Petitioner's argument that Respondent's process lacked an evidentiary basis is equally unpersuasive

Petitioner argues that Respondent has

never before engaged in an offsetting analysis, and so Respondent's conclusions are not entitled to deference. This is not true. Substantial evidence indicates Respondent had a basis for deciding to engage in offsetting. For example, Respondent's expert, RSG, applied a comparable adjustment in Oceanside, California. (AR 748-762.)

The ALJ found that RSG's staff, Ms.

Dominique Clark, had "unique and broad experience in her role analyzing rent increase petitions for diverse mobilehome parks throughout Southern California, an intimate working knowledge of the Ordinance, as well as experience analyzing similar rent control provisions in other jurisdictions." (AR 796.) In contrast, after assessing the experts "based on the facts supporting them and their logical nexus to the record[.]" the ALJ found Petitioner's expert [Mr. Eid] unpersuasive on every point he raised on the offsetting issue. (AR 796.)

The City of El Monte and RSG

recognized that the combination of annual Fair Returns and phasing created a risk of "bigger rent increases in the future," and offset the unrealized phases to avoid that unintended consequence. (AR 988.) RSG recommended this approach because "in the absence of specific instruction on how to handle something" the goal is to "follow the spirit of the ordinance which is to prevent excessive rent increases while also providing the park ownership their Constitutional right to a fair return." (AR 989.)

Thus, substantial evidence supports

the ALJ's determination that the City's decision "to offset the unrealized rent increases was within the broad zone of reasonableness afforded to the City in reviewing the 2021 [Fair Return]"—i.e., a reasonable response to changing circumstances consistent with the Ordinance. (AR 0812.)

Meanwhile, substantial evidence indicates

that Petitioner's argument that the "phase-in approach of the prior rent increases has caused permanent losses in the form of uncollected rents" is not true. (OB, 11:16-11:19.) Petitioner failed to implement rent increases on its exempt spaces in 2021, even though it had the authority to do so, and despite those long-term lease spaces being subject to automatic annual increases. (AR 67-68; 915 at 99:10-17; 953.) The ALJ relied on this evidence, finding that because Petitioner "failed in 2021 to implement annual rent increases for exempt spaces with the same rigor as it has sought increases for the rent-controlled spaces," that "dynamic tends to show park owner was not

concerned in 2021 with its return on investment for El Rovia.” (AR 811.)

Thus, substantial evidence supports what the City of El Monte did, and there are no grounds for the Court granting this petition.

C. Petitioner’s argument that the City did not appropriately pro-rate the inflation-adjusted Base Year NOI as well as the comparison year NOI is unpersuasive

Petitioner argues that the “City, for the first time, began pro-rating the inflation-adjusted Base Year NOI as well as the comparison year NOI for only non-exempt spaces or rent control spaces. While this may result in a similar outcome as a calculation with no pro-rating, (1) the effect is uncertain without performing the actual calculation and (2) it is inconsistent with the prior four years of analyses performed by the same expert. It is also not discussed in the Ordinance.” (OB, 14:18-23.)

Petitioner’s argument is unconvincing. First, Petitioner can show prejudice if the City of El Monte’s calculations “may result in a similar outcome as a calculation with no pro-rating.” (OB, 14:20-21.) Petitioner again offers no logical argument for why the City is compelled to conduct its analysis in the same way every year. (OB, 14:21-22.)

The rest of Petitioner’s argument is not very clear. Petitioner appears to critique RSG’s decision to allocate rent from 21 non-exempt spaces using a ratio of non-exempt spaces to total spaces to allocate expenses. (OB, 15:12-13.) Petitioner argues that the same ratio should have been used for both revenues and expenses in the Comparison Year. (OB, 15:21-22.)

In a petition for writ of mandate, the fact that Petitioner wishes an alternative method was used for calculations is irrelevant. Instead, the real question is whether the hearing officer’s adoption of the City of El Monte’s data and analysis was so outside the bounds of reason so as to constitute an abuse of discretion. (TG Oceanside, L.P. v. City of Oceanside (2007) 156 Cal.App.4th 1355, 1384.)

Petitioner does not meet that mark. California law has

confirmed that what RSG did for the City of El Monte is perfectly acceptable:

“Attempting to segregate out both income and related expenses for the unregulated spaces would create an accounting nightmare. Apportioning expenses would be highly subjective and difficult to verify.” (Id., at p. 1385.)

The

AJJ's made clear that the ALJ's determination was based on substantial evidence. (AR 805-810.)

In

sum, substantial evidence supports what the City of El Monte did, and there are no legal grounds for the Court granting this petition.

D. Petitioner's other arguments are unpersuasive

Petitioner

argues that a conflict arose when RSG consulted with the City Attorney, which represented City at the ALJ hearing and in this writ proceeding. (OB, 13:13-17.) Petitioner also argues that the City of El Monte told RSG how to calculate the fair return and provide a net zero result. (OB, 13:15-17.)

These

arguments lack merit. Both RSG and the City Attorney are advisors to the City. The City Attorney is statutorily charged with advising City officials and staff on legal matters concerning City business. (Gov. Code, § 41801.) The Court identifies no issues when RSG consulted with the City Attorney.

Petitioner

points to no evidence that the City of El Monte instructed RSG to engineer a particular outcome, either.

E.

CONCLUSION

The Court DENIES the petition for writ of mandate.

Pursuant to Local Rule 3.231, subd. (n),

the City of El Monte shall prepare, serve, and ultimately file a proposed judgment.

IT IS SO ORDERED.

Dated: August 14,
2026

Joseph
Lipner

Superior
Court Judge